

Memorandum

Sample document. All names and facts are fictitious.

TO: Margaret Okafor, Partner

FROM: Daniel Reyes, Associate

DATE: September 22, 2026

RE: Enforceability of the Vail non-compete agreement

Question Presented

Can Pinecrest Outfitters enforce the non-competition covenant in Jordan Vail's employment agreement to prevent Vail from working for Ridgeline Supply Co.?

Brief Answer

Probably yes. The covenant protects Pinecrest's legitimate interest in its confidential pricing information, and a court is likely to find its duration and geographic scope reasonable.

Statement of Facts

Pinecrest Outfitters, Inc. operates eleven outdoor-equipment stores. In 2022 it hired Jordan Vail as a regional sales manager. As a condition of employment, Vail signed an agreement providing that for eighteen months after leaving Pinecrest, Vail would not work for any competing retailer within 100 miles of any Pinecrest store. Vail received no compensation for signing beyond the job itself.

In August 2026 Vail resigned and accepted a store-manager position with Ridgeline Supply Co., a competing retailer whose nearest store is 40 miles from a Pinecrest location. Vail took no documents when leaving, but knows Pinecrest's seasonal pricing strategy and its vendor terms.

Discussion

Courts in this state enforce a covenant not to compete only if it is supported by consideration, negotiated in good faith, necessary to protect a legitimate business interest, and reasonable in its restrictions on time and area. *Harlow v. Dunmore Supply Co.*, No. 24-0117, slip op. at 6 (Ct. App. 2025). The employer bears the burden on each element.

A. Legitimate Business Interest

An employer may not restrain ordinary competition; it may protect only goodwill, trade secrets, or confidential information that the employee could use unfairly. *Harlow*, slip op. at 8. Pinecrest's seasonal pricing strategy and vendor terms are not publicly available and would give Ridgeline an advantage it did not earn. This element likely favors Pinecrest.

Vail will argue that pricing information becomes stale quickly in retail. That argument has some force for the 2026 season but less for vendor terms, which Pinecrest negotiates on multi-year cycles.

B. Reasonableness of Time and Area

Restrictions of one to two years are routinely upheld. See *Corbin Medical Group v. Asante*, No. 21-0442, slip op. at 11 (Ct. App. 2022). A 100-mile radius around each of eleven stores, however, covers most of the state's populated areas. A court may narrow an overbroad restriction rather than void it, but is not required to do so. *Harlow*, slip op. at 12.

C. Consideration

Initial employment is sufficient consideration for a covenant signed at the start of employment. Vail signed when hired, so this element is satisfied.

Conclusion

Pinecrest has a reasonable chance of enforcing the covenant, at least in narrowed form. We should send Ridgeline a letter notifying it of the agreement before considering litigation.